

Multiple Choice

1. **Answer:** D

Options: A) the market dictates the answers to the fundamental economic questions.; B) competition helps answer the fundamental economic questions.; C) state and local governments respond to the fundamental economic questions.; D) the central government dictates the answers to the fundamental economic questions.

Note: Correct option: D - the central government dictates the answers to the fundamental economic questions.

2. **Answer:** A

Options: A) the marginal social benefit exceeds the marginal social cost.; B) the marginal social cost exceeds the marginal social benefit.; C) society produces too much of the good.; D) the private benefits from consuming the good exceed the social benefits.

Note: Correct option: A - the marginal social benefit exceeds the marginal social cost.

3. **Answer:** C

Options: A) an increase in government spending; B) a decrease in investment; C) expansionary monetary policy; D) contractionary monetary policy

Note: Correct option: C - expansionary monetary policy

4. **Answer:** D

Options: A) The firm will engage in non-price competition.; B) The firm will realize economic profits.; C) The firm will incur economic losses.; D) The firm will realize zero economic profits.

Note: Correct option: D - The firm will realize zero economic profits.

5. **Answer:** A

Options: A) Consumers seek substitutes for sugar and products that use sugar.; B) Consumers consume more sugar and products that use sugar.; C) The supply of sugar increases.; D) Net exports in the United States fall.

Note: Correct option: A - Consumers seek substitutes for sugar and products that use sugar.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

8. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
9. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
10. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'the difference between unlimited wants and limited economic resources.'

Long Form Response

11. **Answer:** An increase in the construction of new houses.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** the bank can make additional loans. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key